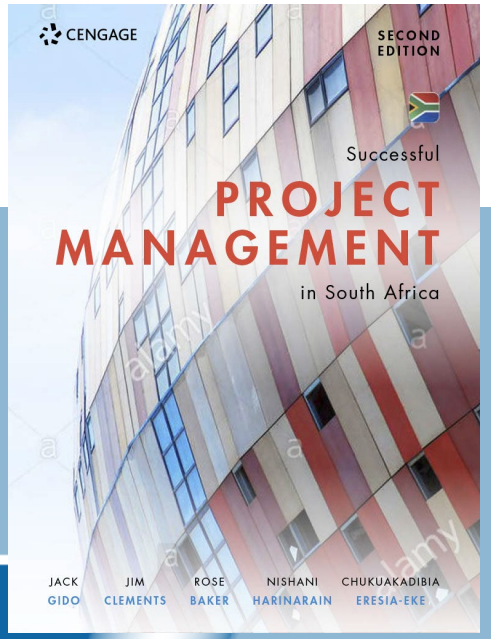
CHAPTER 2



Identifying and Selecting Projects

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Chapter Concepts

- How projects are identified and selected
- A project charter
- Outsourcing projects using a request for proposal
- The proposal solicitation process

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Learning Outcomes

- Discuss how projects are identified and selected
- Explain how projects are prioritised and selected
- Identify and describe at least eight elements of a project charter
- Prepare a project charter
- Prepare a request for proposal / understand a tender

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Performance Domains of PMBOK® 7th edition covered in this chapter:	Knowledge Areas of PMBOK® 6th edition covered in this chapter:
• Planning • Project Work • Stakeholders • Team Development Approach • Uncertainty	• Project Integration Management • Project Procurement Management

Project Management Principles relevant to this chapter

Principle 7 (Tailoring Based on Context)

Principle 7 – Tailoring Based on Context: The project team should take tailoring into account when selecting and evaluating a potential new project. Tailoring is the adaption of the approach, governance and processes to suit the objectives, stakeholders and environment of the project in order to ensure project success by maximising value, managing cost, and enhancing speed. It is an iterative process during the project life cycle which is communicated by project teams to the relevant stakeholders.

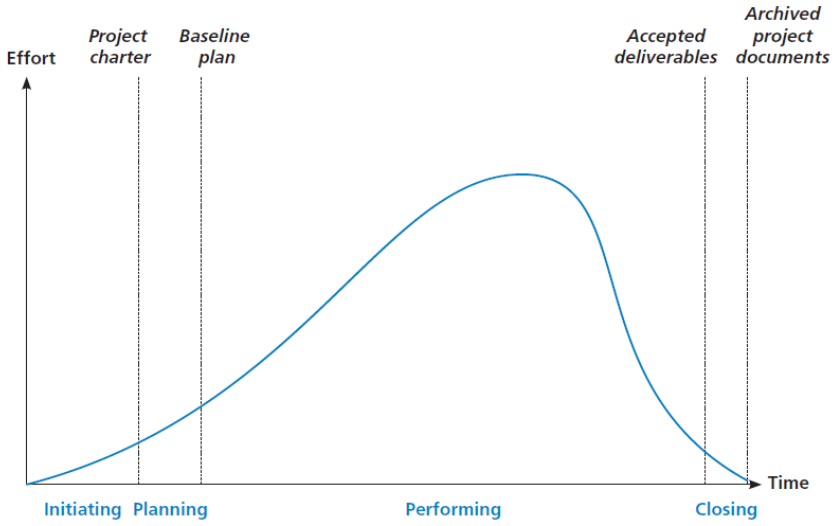
Design the project development approach based on the context of the project, its objectives, stakeholders, governance and the environment using 'just enough' process to achieve the desired outcome while maximising value, managing cost, and enhancing speed.

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Project Identification

- Start of Initiating phase
- Recognise need, problem, or opportunity
- Various ways for identification
  - Organisations strategic planning
  - Response to unexpected events
  - Group organised to address a need
- Important to clearly identify need to determine if worth pursuing
- Use decision making process to prioritise and select project with greatest need

FIGURE 1.2 Project Life Cycle Effort



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Project Selection

- Evaluate needs, costs, benefits
- Determine which are projects
- Select project
- Combine ‘gut’ feelings and quantitative information to make decision



Steps in the Project Selection Process

1. ***Develop a set of criteria against which the project will be evaluated.***

- These criteria will be used to evaluate potential projects and support project selection and include both quantitative and qualitative factors.

2. ***List assumptions that will be used as the basis for each project.***

3. ***Gather data and information for each project to help ensure an intelligent decision regarding project selection.***

4. ***Evaluate each project against the criteria.***

Project Evaluation Form

- The evaluation and selection committee meet to develop a set of evaluation criteria
- Data and information that have been collected, analysed and summarized should be provided
- Members can individually assess the benefits and consequences of each project against the evaluation criteria
- It is the responsibility of the project manager to develop a project evaluation form
- The project evaluation form lists the criteria with space for comments and a rating box for each criterion
- Figure 2.1 is an example of a project evaluation and selection form that is suitable for comparing and selecting among projects that are similar
- ***N.B. When projects are different, the project evaluation for may not be useful since the criteria may be different for each project***

FIGURE 2.1 Project Evaluation and Selection Form

PROJECT EVALUATION AND SELECTION			
EVALUATION CRITERIA	**PROJECT A**	**PROJECT B**	**PROJECT C**
Investment (R)	R700 000	R2 100 000	R1 200 000
Return on investment	9.1%	18.3%	11.5%
Time to market	10 months	16 months	12 months
Increase in market share	2%	5%	3%
Risk	Low	High	Medium
Chance of success	High	Medium	High

Comments
Project A: Major competitor already has similar product and may reduce price.
Project B: New technology may not work as expected.
Project C: Product features may not be accepted in some international markets.

- Once the project selection has been made, the next step is for the sponsor to prepare a project charter
- The charter authorizes the move forward with the project
- Should project work be outsourced to a contractor or consultant, then a tender or RFP (request for proposal) must be prepared to solicit proposals from potential contractors

Project Charter

Purpose

- Provides sponsor approval
- Commits funding for the project
- Summarises key conditions and parameters
- Establishes framework to develop baseline plan

Possible elements

- Project title
- Purpose
- Description
- Objective
- Success criteria or expected benefits
- Funding
- Major deliverables
- Acceptance criteria
- Milestone schedule
- Key assumptions
- Constraints
- Major risks
- Approval requirements
- Project manager
- Reporting requirements
- Sponsor designee
- Approval signature

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Project Charter

- The project charter is an important document
- It authorizes the going forward with a project and provides the key conditions and parameters that are the framework for the project manager and team to develop a detailed baseline plan for performing the project
- Not all projects use a project charter
- Projects that are informal or done in response to an unexpected event may not be appropriate for a project charter
- Examples:

1. Home renovation project
2. A wedding
3. Responding to a natural disaster

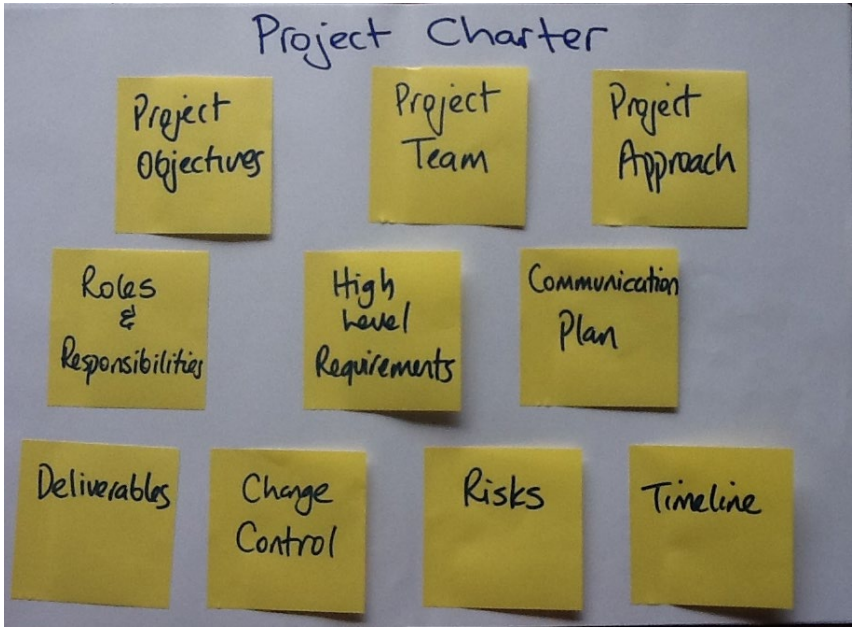


FIGURE 2.2 Project Charter

Project charter

Project title: Create online continuous professional development (CPD) modules for the South African Council for the Project and Construction Management Professions (SACPCMP).

Purpose: Currently SACPCMP offers and provides education and training programmes for its members that are delivered face-to-face in a workshop or classroom setting. Online training has been requested by members from all nine provinces. This project is authorised to create Online CPD modules for SACPCMP, an education and training component that will provide online modules for members.

Description: SACPCMP will issue a request for proposal to select an external contractor to design, develop, deliver and evaluate the online environment for 11 CPD modules that have been identified for the majority of SACPCMP members. SACPCMP has identified the 11 most popular courses from the current face-to-face offerings. The language of instruction will be English. Feedback for the initial four modules available online will be evaluated for availability, requirements for synchronous and asynchronous experiences, and effectiveness during the initial three-month pilot. At the conclusion of the four-module pilot, the contractor will provide a written report and a presentation to SACPCMP's President and Council members of the results of the evaluation and recommended changes for availability, training experience and effectiveness. The remaining seven modules will be available online at the conclusion of the pilot. At six months, nine months, and the conclusion of the first year of training offerings, the contractor will present reports of enrolments and course evaluations.

Objective: The objectives of the implementation of the 11 CPD modules are twofold:

1. To provide a consistent training message for the modules through the online delivery using the SACPCMP module management system.
2. To reduce costs related to providing training for the CPD modules by incorporating Web 2.0 technologies and other appropriate instructional strategies into the course design and removing the requirement of a face-to-face instructor.

Success criteria or expected benefits: The implementation of the modules is expected to reduce the costs of presenting the information for the 11 modules by 25 per cent in the first year and provide CPD training to all new members.

Funding: The total funds authorised for this project is R1.5 million for the design and development of the 11 courses and R375 per enrolment for delivery.

Major deliverables: The contractor is to design, develop, deliver, and evaluate 11 online CPD modules; provide written and presented quarterly reports; and provide technical support at all times during the year after the initial pilot.

Acceptance criteria: The online training environment will meet the SACPCMP standards. Training will be in English. The SACPCMP President gives the final approval for all modules before they go online.

Milestone schedule: The project timetable for key milestones in calendar months after the contract is signed with the contractor:

1. Baseline project plan prepared	month 1
2. Pilot courses designed	month 3
3. Pilot courses developed	month 7
4. Evaluation designed	month 7
5. Start delivery of four pilot courses	month 6
6. Remaining seven courses designed	month 7
7. Complete evaluation of four pilot courses	month 9
8. Remaining seven courses developed	month 7
9. Start delivery of remaining courses	month 12
10. Evaluation of all courses	month 13
11. Evaluation of all courses	month 16
12. Evaluation of all courses	month 18

Key assumptions: The contractor will use the module management system already developed and tested by SACPCMP information systems.

Constraints: Modules must present the information within the developed modules selected by SACPCMP. Appropriate instructional strategies are to be used for the presentation of the information within the online environments. The SACPCMP module management system contains Web 2.0 technologies, quiz mechanisms, calendaring system, video capacity and participant activity monitoring.

Major risks: The contractor must sign a non-disclosure agreement to not reveal any proprietary information within the 11 courses to avoid disclosure of processes and practices SACPCMP has developed.

Approval requirements: All courses are to be approved by the SACPCMP President at milestones and before their initial offering activation.

Project manager: Ariadni Fester is the assigned SACPCMP project manager and is responsible for the project. She is SACPCMP's point of contact with the contractor and will oversee the performance of the contractor.

Reporting requirements: The SACPCMP project manager must prepare written reports and submit them electronically to the SACPCMP President one week before the oral presentation. The oral presentation may occur remotely, using electronic presentation techniques.

Authorised by: Nombuso Dlamini, President Date: 1 July.

Preparing a Request for Proposal

- Decision made to outsource to external resource (Contractor)
- A request for proposal (RFP) is a document that defines the project requirements and is used solicit proposals from potential contractors to do the project.
- A proposal is a document that includes a proposed approach, schedule and budget for meeting the project requirements and accomplishing the project scope
- Comprehensively describe project requirements
  - Includes need, problem, or opportunity description
  - Allows contractors to develop a thorough proposal
  - Facilitates the development of evaluation criteria
- May be communicated informally or formally, in writing or verbally



Guidelines for developing an RFP

- State project objective or purpose
- Provide a statement of work
- Include customer requirements
- State deliverables the customer expects
- State acceptance criteria
- List customer supplied items
- State approvals required
- State type of contract
- State payment terms
- State schedule and key milestones
- List format and content instructions
- Indicate due date
- Include evaluation criteria
- Include level of effort or funds available

Example of an RFP

REQUEST for PROPOSALS (RFP)
for Residential Energy Efficiency Loan Facilities:
[ ] City

Proposal Due Date:	**September X, 2010 at XX:00 a.m.**
Send Proposals to:	**City of [ ]** **Office of Sustainability** **789 Main St** **[City], [State] 19890**

If you have questions about this RFP, please contact:

Lead Contact for RFP Questions & Communications:	Cary S. Ford, Projects Manager 800-123-4567, CFord@City.gov

1. Request for Proposals ("RFP")

Based on a grant from the [ ] State Energy Fund ("SEF"), the City of [ ] (the "City") is seeking a financial institution (FI) partner to participate in its city-wide energy efficiency initiative ("Program"). We are requesting proposals from FIs to provide the following services:

- assist in final structuring of the energy efficiency loan program, in collaboration with the City and its financial advisor, Energy Finance Corp. ("EFC");
- originate and provide energy efficiency ("EE") loans ("Loans") to residential energy users (and, possibly in the future, small commercial and non-profit energy users);
- manage a loan loss reserve fund ("LRF"), or other credit enhancement mechanism (see Section 5), funding for which shall be provided by the City to enhance the credit structure of the Loan portfolio;
- provide related Loan administration services, e.g., billing and collections; and

Soliciting Proposals

Solicitation

- Notify potential contractors
  - Identify selected group in advance to send copy
  - Advertise in selected journals, newspapers, or websites
- Maintain competitive situation
  - Provide equal information to all bidders
  - Hold bidders' meeting to answer questions

Conditions

- Requirements are sometimes communicated verbally instead of via a formal RFP
- All RFPs start with identification of a need, problem, or opportunity

Critical Success Factors

- The need must be **clearly defined** before preparing a request for proposal (RFP).
- When selecting a project from among several needs or opportunities, the decision should be based on which project will **provide the greatest overall benefits** compared to its costs and possible consequences.
- Having a well-understood **evaluation and selection process** and a well-rounded committee will increase the chances of making the best project selection decision.
- Establish **quantitative** project success **criteria**, or expected benefits.
- A good RFP allows contractors to understand what the customer expects so that they can prepare a thorough proposal that addresses the **customer's needs and requirements**.
- A request for proposal should include a statement of work, customer requirements, expected deliverables, and the **criteria** by which the customer will **evaluate** proposals.
- An RFP should provide instructions for the **format and content** of contractor proposals so that the customer will be able to make a consistent and fair comparison and evaluation of all the proposals.
- Customers must be careful not to provide information to only some of the contractors because it would give these contractors an unfair **competitive** advantage in preparing their proposals.

Summary

- The initiating phase of the project life cycle starts with recognising a need, problem, or opportunity for which a project or projects are identified to address the need.
- Sometimes organisations identify several or many needs but have limited funds and people available to pursue potential projects to address all of those needs. In such cases, the company must go through a decision-making process to prioritise and select those projects that will result in the greatest overall benefit.
- Project selection involves evaluating potential projects and then deciding which should move forward to be implemented.
- Once a project is selected, it is formally authorised using a document referred to as a project charter, sometimes called a project authorisation or project initiation document.
- In some cases, an organisation does not have the expertise or staff capacity to plan and perform the project or major portions of the project, and therefore decides to have the project completed by an external resource (contractor) and prepares and RFP.
- Once the RFP has been prepared, the customer solicits proposals by notifying potential contractors that the RFP is available.
- Not all project life cycles include the preparation of a written request for proposal by a customer and subsequent submittal of proposals from contractors. Some endeavors move from the initiating phase, where a project is identified and selected, into the planning and performing phases of the life cycle.

ICE TASKS

- ARC
- Assessments – ICE Tasks
- ICE TASK 2 – The Project Charter
- ICE TASK 3 – Activity 2.2.1: Request for Proposal
- ICE TASK 4 – Creating a Project Proposal
- Must complete release conditions
- Due Date: 24 September 2026